

The complaint

Mr and Mrs G say The Salvation Army General Insurance Corporation Ltd (SAGIC) unfairly declined a theft claim under a property owners insurance policy due to a breach of an unoccupied policy condition.

What happened

The details of this complaint are known to all parties, so I won't repeat them again here. Instead, I've focused on giving the reasons for my decision.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Several points have been raised in relation to this matter – I've not addressed each point individually. But I assure both parties I've read and understood everything that's been provided. In this decision, I've focused on what I consider to be the pertinent points. I mean no discourtesy by this – it simply reflects the informal nature of our Service.

Mr and Mrs G held property owners' insurance which was underwritten by SAGIC. The policy was in place for a property they rented to a tenant. The tenant is said to have abandoned the property around August 2022, and the property was unoccupied thereafter.

Mr and Mrs G reported damage to their property following a break-in, in February 2023. SAGIC made enquiries and later declined the claim. It referred to a policy condition for unoccupied property, which said:

“Unoccupancy Condition

...

*If your property is vacant for more than 31 consecutive days then **you** must ensure:-*

...

*(b) **you** or a responsible adult carry out internal and external inspections of the **buildings** at least every 14 days and maintain a log of those inspections and retain that log for at least 24 months...”*

The policy schedule set out Mr and Mrs G were covered for loss or damage following a theft in the event the property was unoccupied.

I find the above condition to be clear, fair, and was reasonably highlighted to Mr and Mrs G given it was set out on page two of the policy schedule. Further, SAGIC has said Mr and Mrs G experienced two similar incidents prior to this, and the condition was highlighted to them some five months prior to the February 2023 loss.

SAGIC requested Mr and Mrs G provided evidence to demonstrate they complied with the condition. Mr and Mrs G have said while there were ad-hoc visits to the property by estate agents, and builders, they have not been able to provide supporting evidence of inspections

and a log of the same in line with the condition. Therefore, it follows that I am satisfied SAGIC acted fairly when concluding Mr and Mrs G failed to comply with the condition based on the information it had available to it at the time.

I've gone on to consider whether I am satisfied SAGIC has shown Mr and Mrs G's failure to comply with the condition increased the risk of the loss which actually occurred, and the circumstances of the claim are connected to that breach. And having done so, I am not satisfied it has. Therefore, it follows that I don't find SAGIC declined this claim fairly and reasonably. I say this for the following key reasons:

- The February 2023 break-in was said to have occurred by SAGIC's agents following forced entry through a rear kitchen window. The window in question had a metal security sheet fitted to it, and this was removed during the break-in. Mr and Mrs G have said they added additional security precautions such as these metal sheets, and these failed to deter the February 2023 break-in. Mr and Mrs G have said this demonstrates they took reasonable steps to prevent further incidents of theft following the two previous incidents. I am satisfied that's fair.
- SAGIC has said a regular inspection in line with the condition would have demonstrated a steady, consistent, presence at the property which could have mitigated the risk of the February 2023 incident occurring. I am not persuaded an inspection every 14 days to a property with metal sheeting (that didn't deter a break-in) would have mitigated the risk of the incident occurring in the way it did.
- SAGIC has said had the inspections taken place in line with the condition, Mr and Mrs G would have been aware of the break-in – rather than being informed by the local authority, which is what also happened during the previous September 2022 incident. I find, on balance, it's more likely than not that an inspection would have alerted Mr and Mrs G to the break-in (as the local authority did), rather than provide a prevention purpose to the incident itself.
- This claim was the result of a sudden and fortuitous incident as set out, broadly, by SAGIC's agent. SAGIC has said Mr and Mrs G suffered two similar incidents of break-in during the same year. This in my view is unusual and not common. Mr and Mrs G have said the area in which their property is located is susceptible to this type of incident, which sounds plausible given three reported break-ins have occurred during a period of roughly 10 months.
- The first incident was in April 2022, but a claim wasn't pursued by Mr and Mrs G. SAGIC has said it believed the property to be unoccupied at this time. The second incident in September 2022 resulted in a claim being paid by SAGIC. It has said although there was no sign of occupancy, the claim was accepted on the basis it was occupied. So, SAGIC accept a similar incident occurred while the property was *occupied*, so to say an inspection every 14 days to the unoccupied property would have prevented the February 2023 incident occurring in the way it did is not persuasive.
- SAGIC has also said Mr and Mrs G should have told it they weren't complying with the condition, and they had a duty to provide a fair presentation of the risk. I am not persuaded this argument makes a material difference to the outcome of this claim. SAGIC were aware of the circumstances of occupancy – it has said it highlighted the unoccupancy condition to Mr and Mrs G following the September 2022 claim. Further, the policy covered the property while it was unoccupied. I don't find Mr and Mrs G's failure to comply with the condition means they failed to provide SAGIC with

a fair presentation of the risk.

In concluding, I am not satisfied SAGIC has shown Mr and Mrs G's failure to comply with the condition increased the risk of the loss which actually occurred, or that the circumstances of this claim are connected to that breach. Therefore, it follows that I'll be requiring SAGIC to reconsider this claim in line with the remaining policy terms and conditions.

I note when the loss occurred, it has been said by Mr and Mrs G that their intention for the property was to sell it on the market. They have requested the loss of rent section of the policy to engage. SAGIC's final response letter dated 16 October 2023 didn't give comment to this specific aspect – nor did our Investigator comment on it. Therefore, I've not commented on the loss of rent aspect of Mr and Mrs G's claim in my decision.

Putting things right

I now require SAGIC to reconsider this claim in line with the remaining policy terms. It must include simple interest at 8% per year on any claim settlement paid to Mr and Mrs G for any claim-related repairs they have completed, from the date they made the payment, to the date of settlement.

My final decision

I uphold this complaint. I now require The Salvation Army General Insurance Corporation Ltd to settle this complaint in line with my instructions above.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs G and Mr G to accept or reject my decision before 30 December 2024.

Liam Hickey
Ombudsman